Introduction to Corporate Strategy

What is Corporate Strategy?

- Mary Coulter defines strategic management as: 'a series of steps in which organisational members analyse the current situation, decide on strategies, put those strategies into action, and evaluate, modify or change strategies as needed'

Corporate Strategy

Corporate strategy is the overall plan and direction that a company adopts to achieve its long-term goals and create value for its stakeholders.

It sets the direction for the entire organization, guiding business units and functional strategies. It’s typically developed by top executives and approved by the board.

Mintzberg’s perspectives on strategy

Henry Mintzberg, who has written extensively on strategy, points out that strategy is not a one-off decision, but rather a 'pattern in a stream of decisions’.

He argues that it can be seen from a number of different perspectives (helpfully classified as Five (Ps).

SO WHAT DO WE MEAN BY STRATEGY?

What is our present situation?

Business environment and industry conditions

Firm's financial and competitive capabilities

Where do we want to go from here?

Creating a vision for the firm's future direction

How are we going to get there?

By crafting an action plan that heads the firm in the direction of its intended market position, attracts customers, achieves financial and market performance targets, and gets it where it wants to go—that is, its strategy

© McGraw-Hill Education.

Five Ps of Strategy

1. **Plan** : Strategy is the output of a systematic process of planning: setting objectives; analysing environmental threats and opportunities, and the organisation's strengths and weaknesses; developing and evaluating options; and selecting the most viable option for implementation.
2. **Play** : Strategy is developed in the process (or 'game') of out-manoeuvring competitors: responding to competitor activity, initiatives, strengths or weaknesses with offensive or defensive moves to gain or maintain advantage

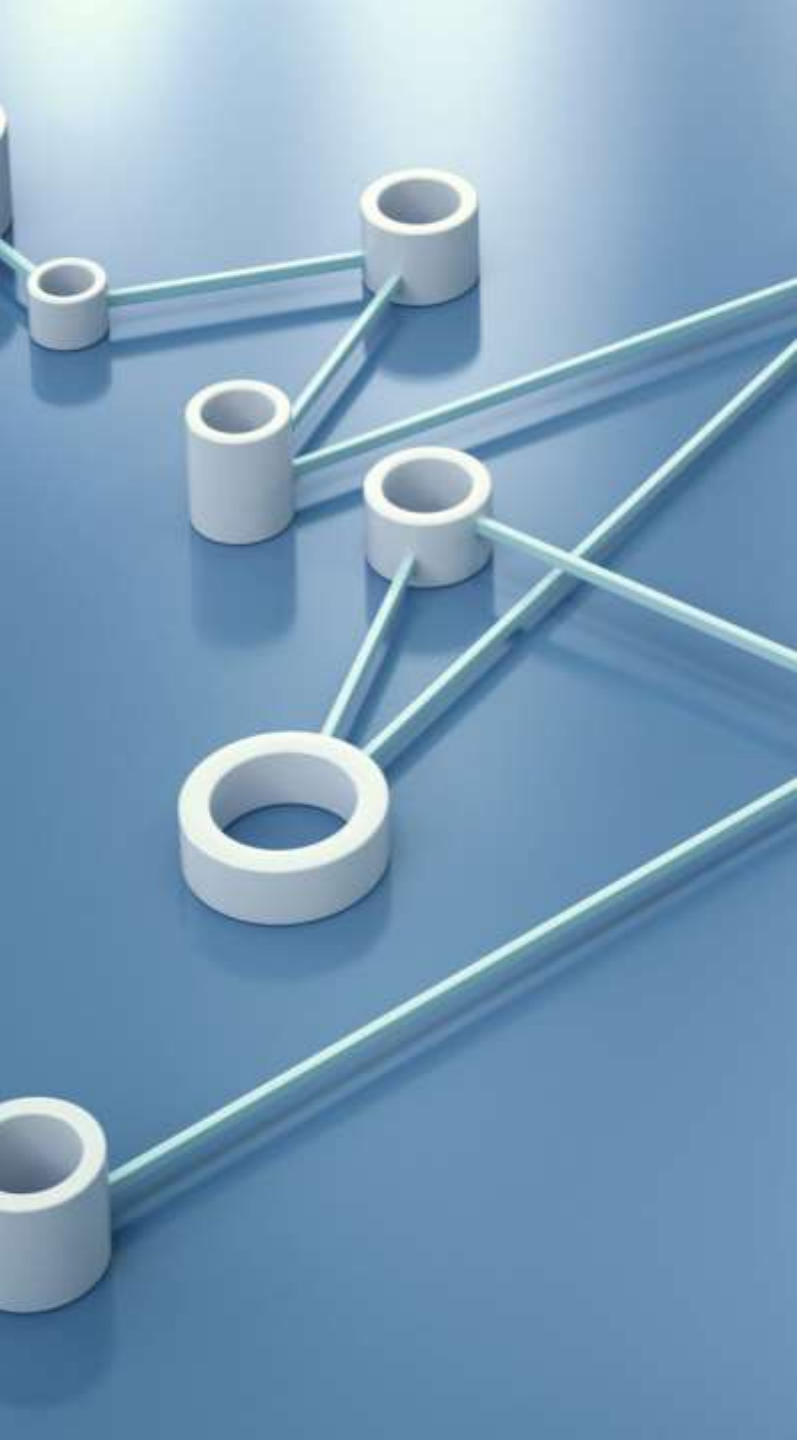
Five Ps of Strategy

3. Pattern : Strategy is developed from the stream of actions that the organisation adopts consistently over time (whether or not consciously intended). A pattern of action emerges from the retention of approaches that appear to be working, and the discarding of approaches that don't appear to be working.

4. Position: Strategy is a means of identifying an organisation's position in a given environment (including its competitive market), and of shaping its response to the opportunities and threats presented by external forces.

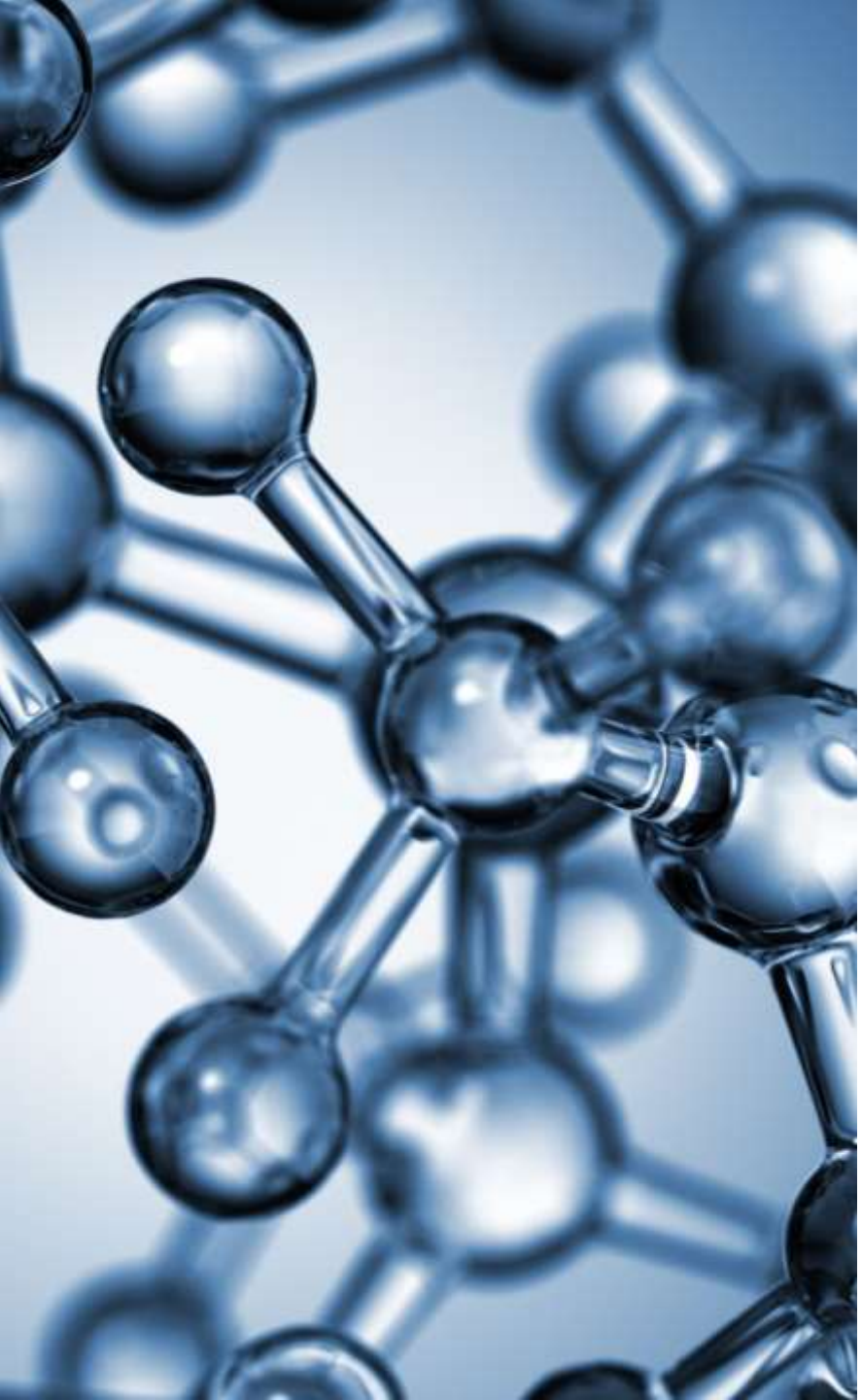
Five Ps of Strategy

5. Perspectives: Strategy reflects the organisation's 'ingrained way of perceiving the world': the corporate 'personality' which influences how it defines its purpose and goals, and chooses how to go about things.



Key Components of Corporate Strategy

1. **Scope:** defines the industries, markets, and geographies the company will operate in.
2. **Resource Allocation**: decides how to distribute capital, talent, and technology across business units.
3. **Synergy**: ensures that different parts of the organization work together to create more value than they would individually.
4. **Growth Strategy**: includes decisions on mergers & acquisitions, partnerships, and organic growth.
5. **Portfolio Management**: balances high-risk/high-reward businesses with stable ones.



Strategy is about

Looking at the organizational present situation, such as the business environment and industry conditions.

Firm’s financial position and competitive capabilities

Creating a vision for the organization’s future direction- “where do we go from here”.

Strategy is about

Crafting an action plan that leads or directs the organization into the intended market position such as

- Market and Customer Acquisitions
- Achieve financial performance and market performance targets
- Gets to where it wants to be.

Hence strategy is about the sen "Hows"

- How to position your company in the marketplace
- How to woo customers
- How to compete against rivals
- How to achieve the company's competitive rivaly
- How to achieve the company's performance targets
- How to capitalize on opportunities to grow the business
- How to react to economic, industry and market conditions

Further, strategy

- Enhances competition against the rivals by doing what competitors do not do and even doing it better or doing what they can’t do.
  - Is likely to be successful when its actions, business approaches, and competitive moves appeal to buyers in ways that;
    i. Set a company apart from its rivals
    ii. Stake out a market position that is not crowded with strong competitors

Strategy and Competitors

- Strategy is about competing differently from rivals.
  - Doing what they do not do or doing it better
  - Doing what they cannot do
  - Doing things that attract customers and set a firm apart from its rivals.
  - Doing things calculated to produce a competitive edge over rivals
  - Doing what the firm must do and also knowing what it must not do.

Does Strategy Matter?

A firm needs a strategy to specify what actions will be taken.

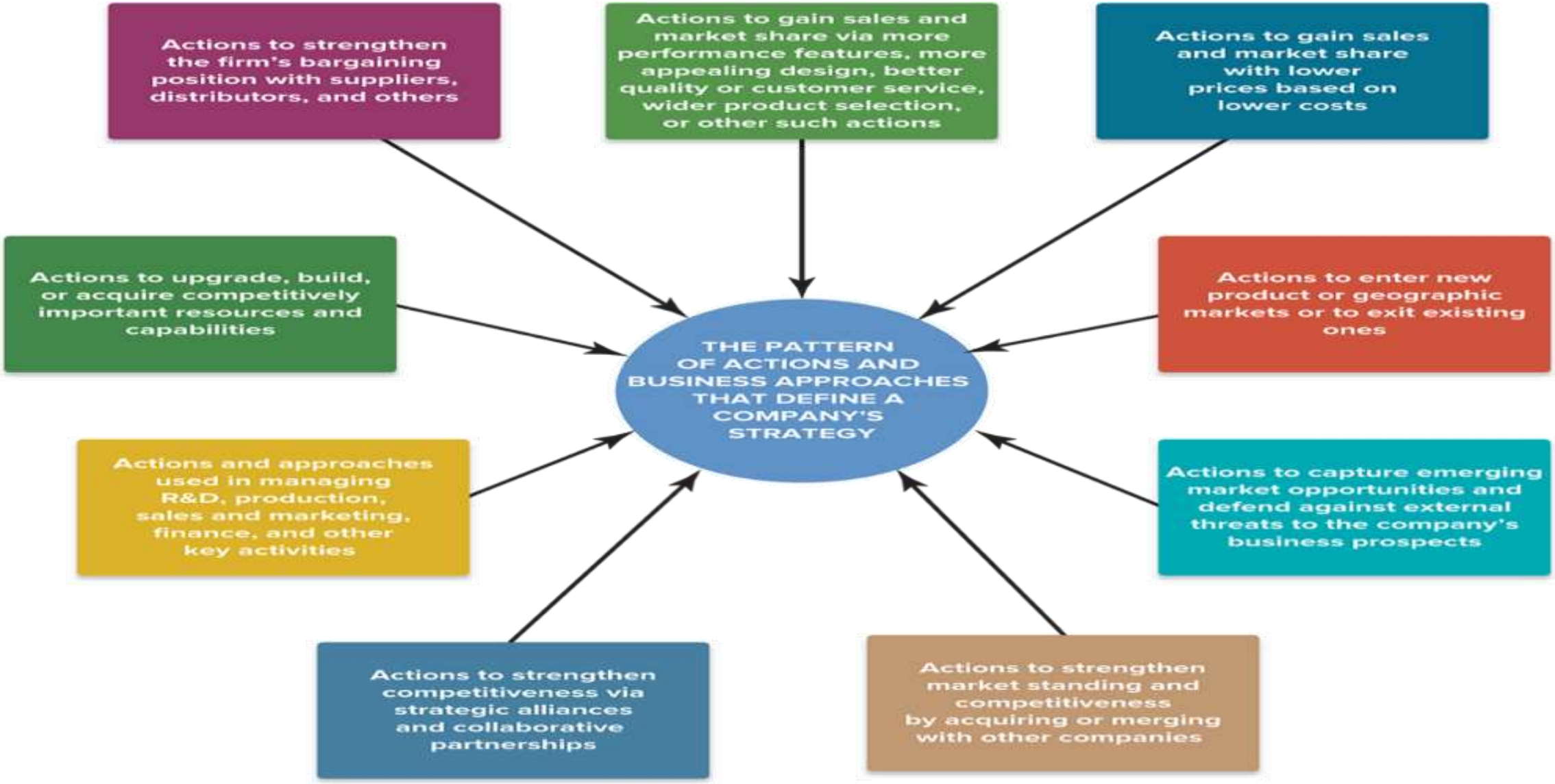
- To improve its financial performance
- To strengthen its competitive position
- To gain a sustainable competitive advantage over its market rivals

A creative, distinctive strategy

- Helps produce above-average profits
- Increases competitive pressures on rivals

ENDED HERE WITH PART TIME

Identifying what to look for in a Corporate Strategy



Sample of McDonald's Corporate Strategy

1. **Accelerating the Arches Framework:** Focus on Maximize Marketing, Commit to the Core, and Double Down on Digital, Delivery & Drive-Through to strengthen global brand relevance and customer experience.
2. **Strong Value Strategy:** Reviving value meals like $5 Meal Deals, Snack Wraps, and Extra Value Meals to drive customer traffic and reinforce affordability.
3. **Digital & Technology Innovation**: Enhancing operations using mobile ordering, kiosks, and AI tools like accuracy scales to improve speed and order correctness.
4. **Aggressive Global Expansion:** Opening 8,000+ new stores by 2026 and targeting 50,000 locations worldwide by 2027 to capture high-growth markets.
5. **Financial Discipline & Performance Metrics**: Maintaining strong systemwide sales, free cash flow, and operating margins while emphasizing sustainable long-term

Strategy and the desire for Competitive advantage

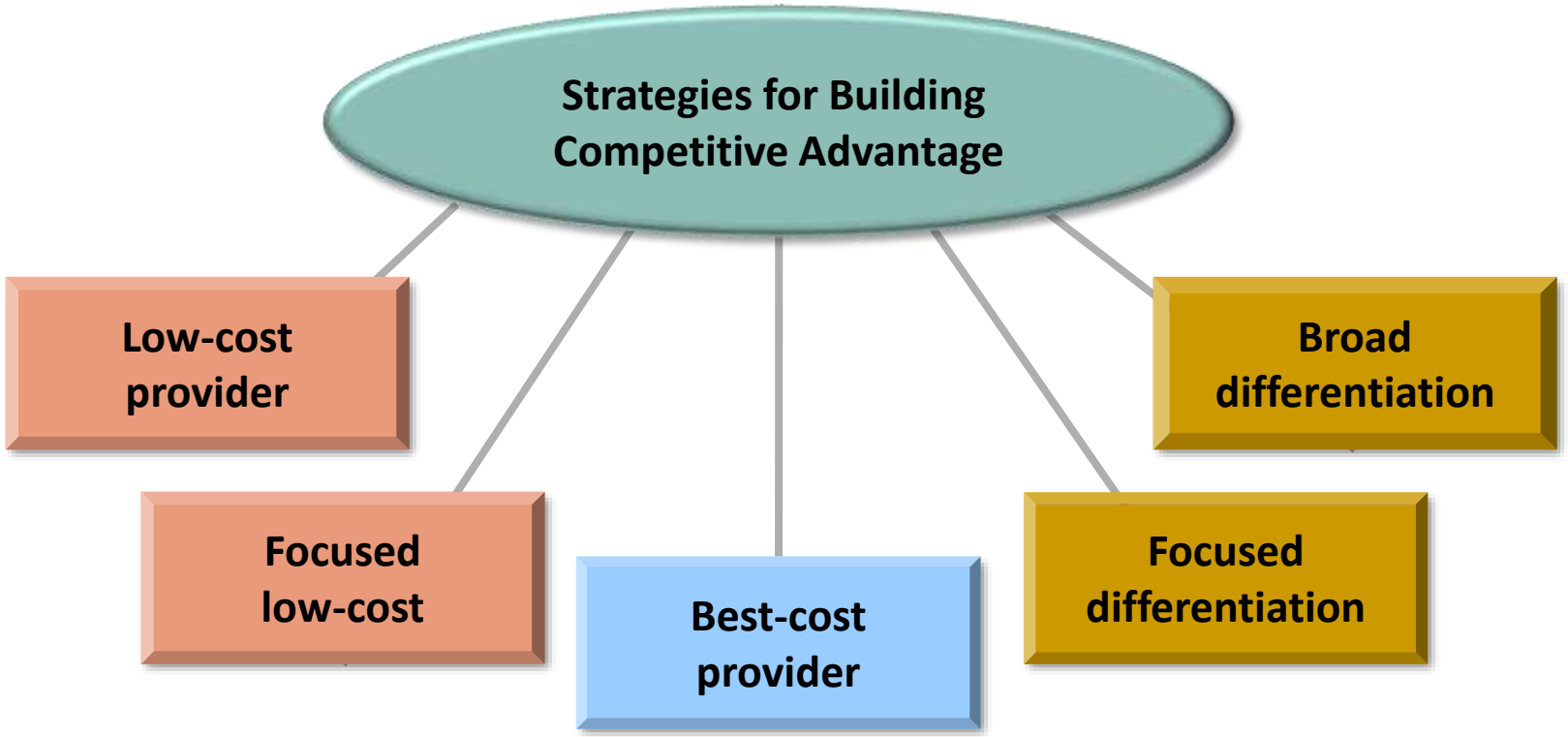
Competitive advantage

- **Requires meeting customer needs either more effectively (with products or services that customers value more highly) or more efficiently (by providing products or services at a lower cost to customers)**

Sustainable competitive advantage

Requires giving buyers **lasting** reasons to prefer a firm's products or services over those of its competitors

BASIC STRATEGIC APPROACHES



Jump to Appendix 2 long image description

© McGraw-Hill Education.

END OF FULL TIME CLASS

© McGraw-Hill Education.

1. Low-Cost Provider Strategy

01

The company aims to offer the lowest prices in the industry.

02

Achieved by cutting operating costs, improving efficiency, and leveraging economies of scale.

03

The goal is to attract a broad customer base by being the most affordable option.

2. Focused Low-Cost Strategy

Similar to low-cost provider, but the company targets a specific niche or customer segment.

It provides the lowest prices within that particular market segment rather than the entire market.

Example: A budget airline targeting short-distance travelers only.

3. Best-Cost Provider Strategy

The company aims to give customers more value for their money by offering:

Good qualityAt a competitive or moderate priceIt blends low-cost efficiency with some elements of differentiation (better features, better service).

Ideal for customers seeking the sweet spot between quality and affordability.

4. Broad Differentiation Strategy

The company competes by offering unique products or services that stand out from competitors.

Differentiation can come from innovation, design, brand image, quality, or technology.

Aims to attract a wide audience willing to pay more for something distinct.

5. Focused Differentiation Strategy

The company targets a narrow or specialized market segment but uses differentiation to serve this group exceptionally well.

Offers unique features tailored to a specific set of customers.

Example: Luxury brands targeting high-income niche customers.

Break – Grab a Cup of Coffee

Startegic Approaches

Building a competitive advantage by:

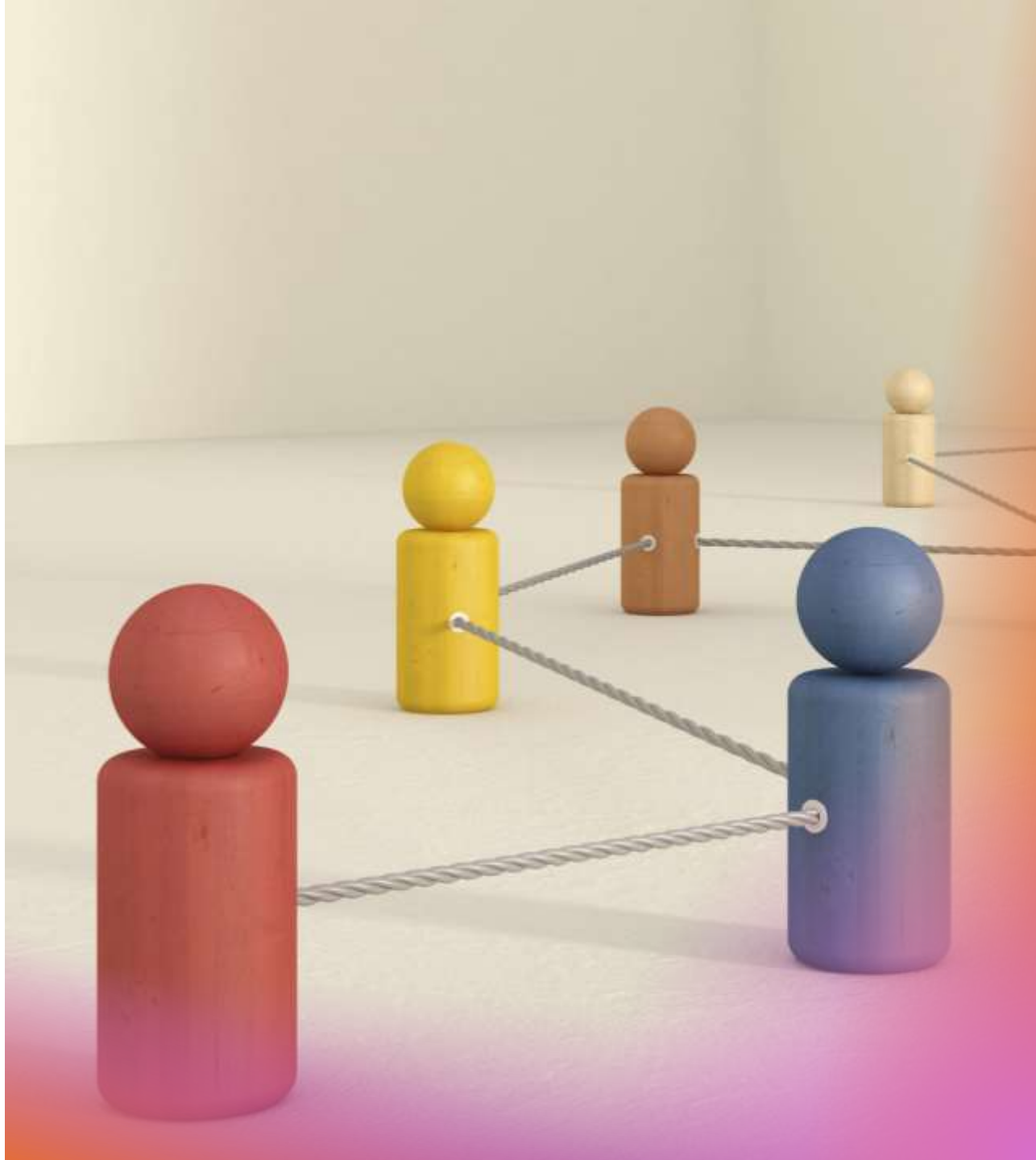
- Striving to become the industry's low-cost provider **[Efficiency in controlling provider costs]**
- Outcompeting rivals on differentiating features **[Effectiveness in delivering value to customers]**
- Offering customers the lowest prices for differentiated goods [**Best-cost provider]**
- Focusing on better serving a niche market's needs **[Efficiency and effectiveness**]

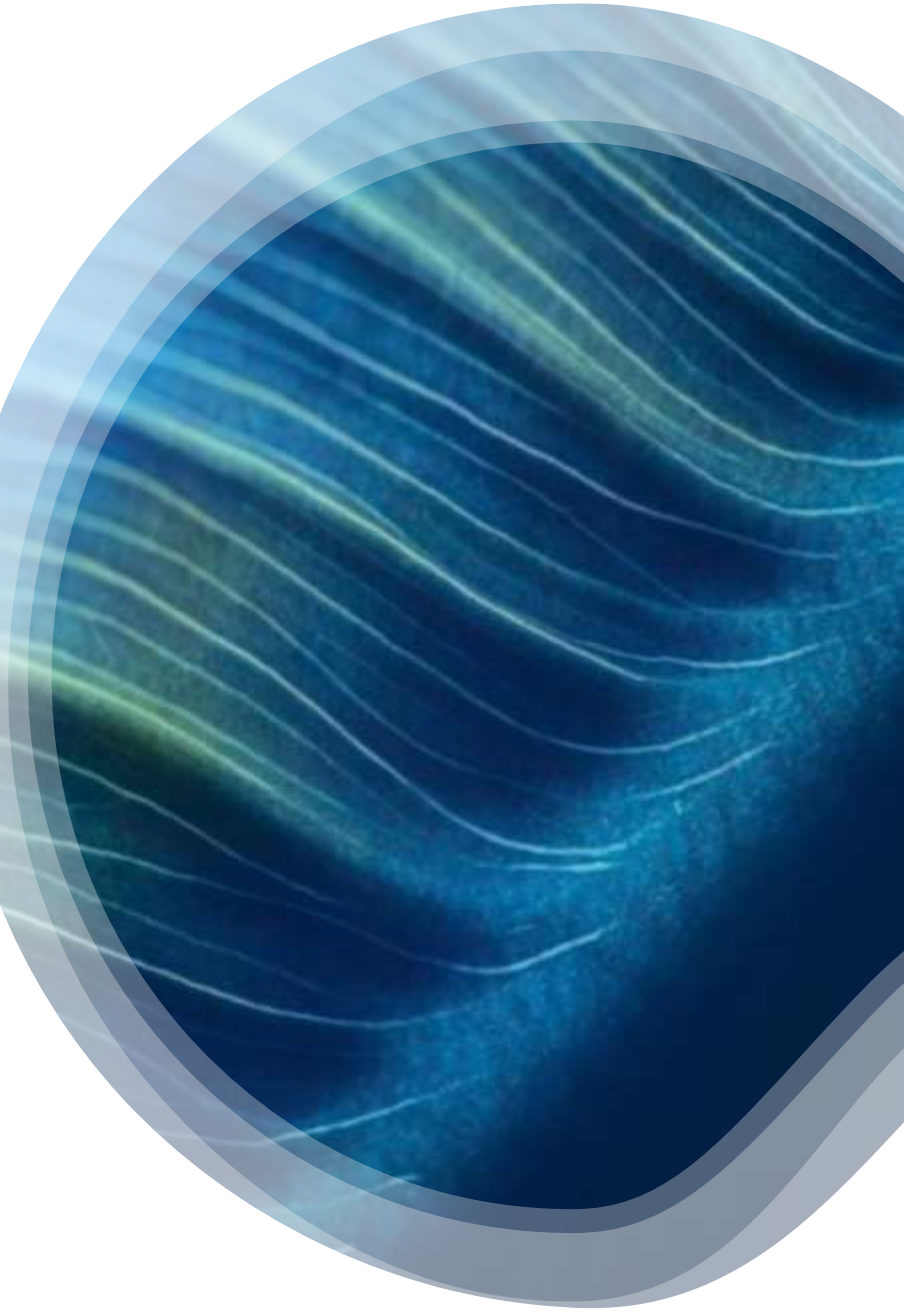
Core concept of Competitive Advantage

- A firm achieves a competitive advantage when it provides buyers with superior value compared to rival sellers or offers buyers the same value as its rivals but at a lower cost to the firm.
- The firm achieves a sustainable competitive advantage if the basis for its advantage persists despite the best efforts of competitors to match or surpass its advantage

Attaining Sustainable Competitive Advantage

- How to create a sustainable competitive advantage:
  1) Develop a team of valuable expertise and competitive capabilities over the long term that rivals cannot readily copy, match, or best
  2) Put the constant quest for sustainable competitive advantage at center stage in crafting your strategy.



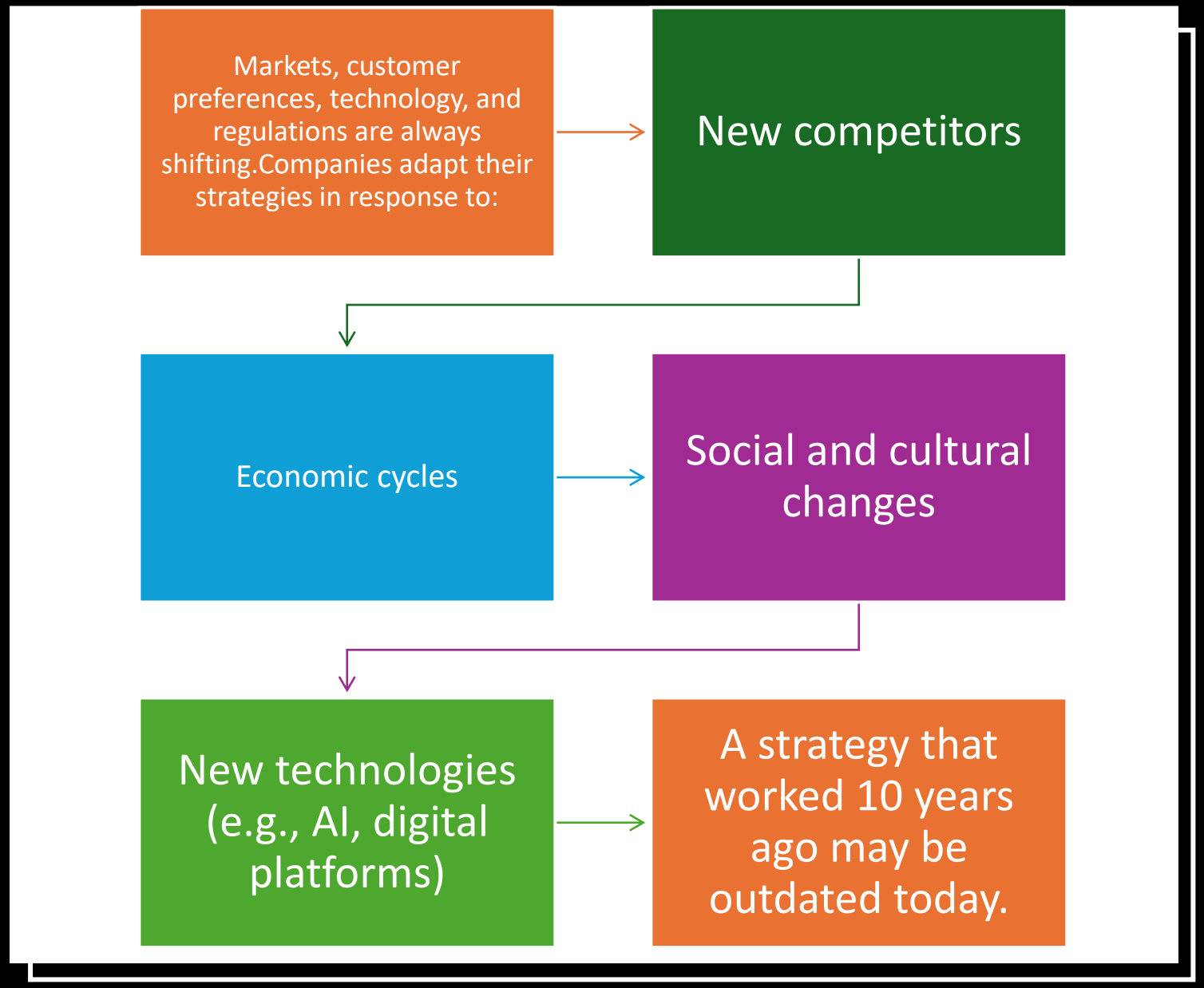


Reasons for evolving corporate strategy

corporate strategy absolutely evolves over time, and it must do so for a company to remain competitive and relevant.

Here’s a clear and simple explanation of why and how:

1. Changes in the External Environment



2. Internal Growth and Capabilities

As a company grows,

Its Resources

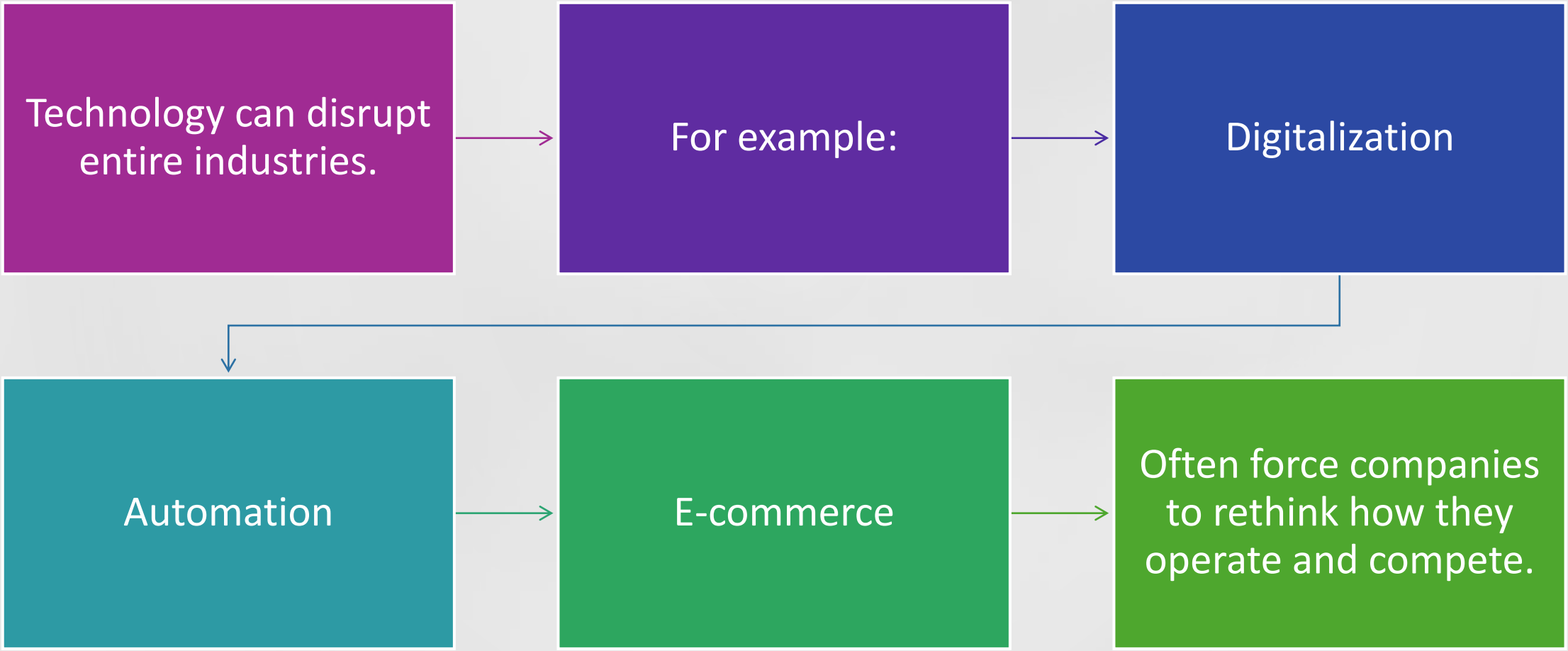
Skills

Culture

Operational capabilities change as well

This growth gives the company new opportunities — or makes old strategies ineffective.

3. Innovation and Technological Advancement



4. Shifts in Corporate Vision or Leadership

- New CEOs or boards often:

1) Introduce new priorities
2) Redirect investment
3) Redefine long-term goals
4) This naturally changes the corporate strategy.

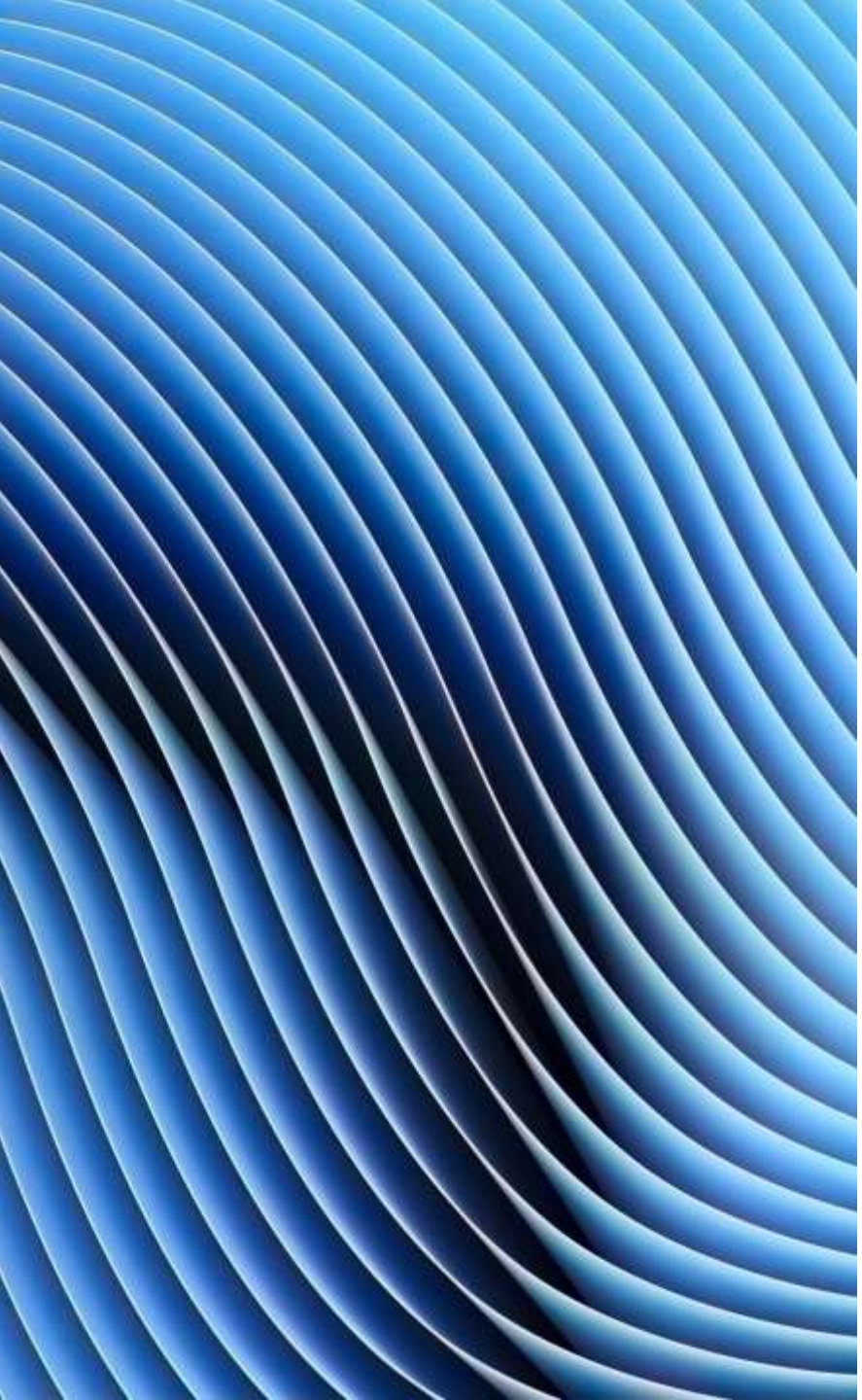
5. Competitive Pressures

- When rivals innovate or improve, companies adjust their strategies to maintain advantage.
- This might mean:

1) Lowering costs
2) Launching new products
3) Entering new markets
4) Upgrading customer experience

Managers modify strategy in response to:

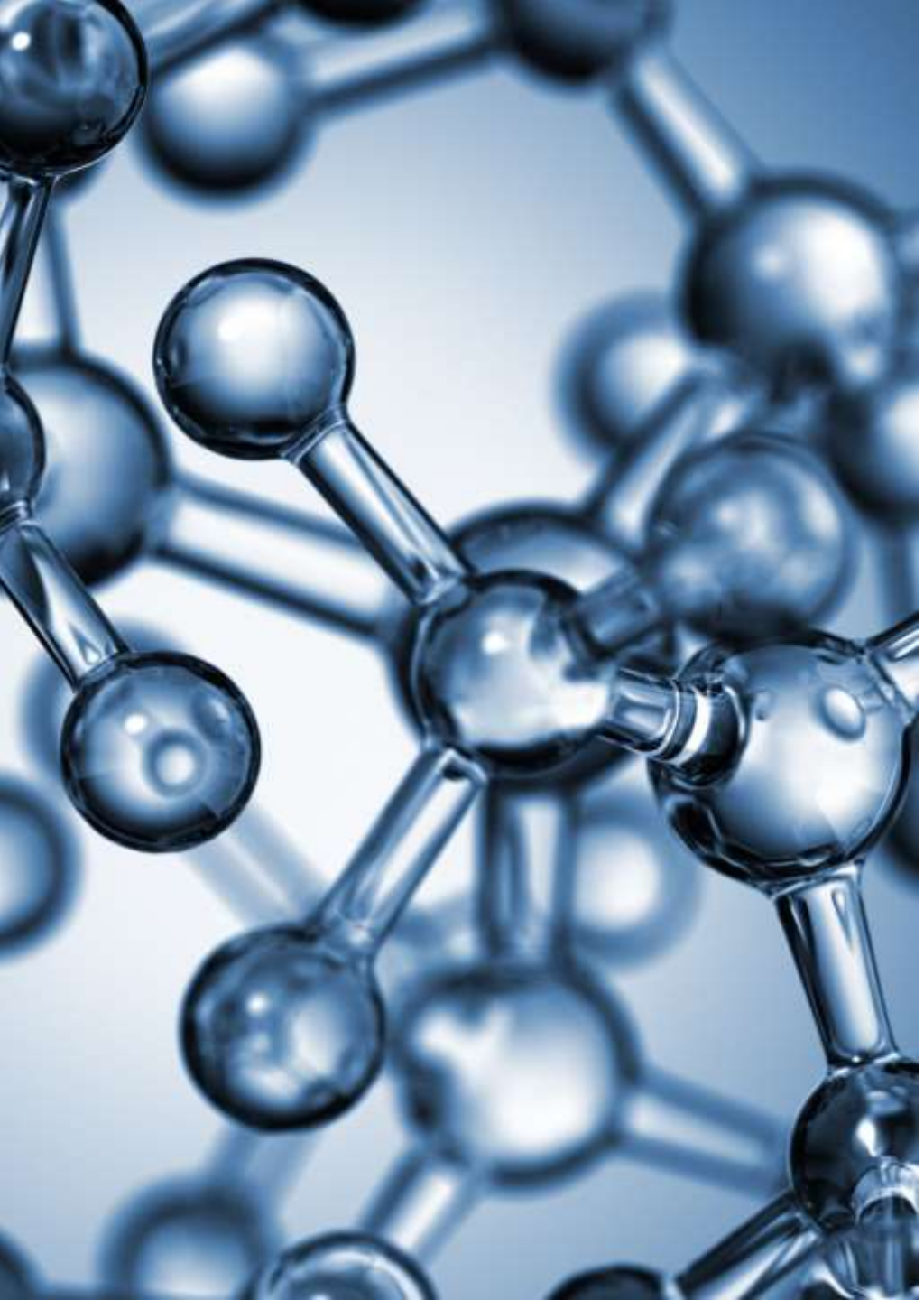
- Changing market conditions
- Advancing technology
- Fresh moves of competitors
- Shifting buyer needs
- Emerging market opportunities
- New ideas for improving the strategy



Principle of Strategic Management

Changing circumstances and ongoing management efforts to improve the strategy cause a firm's strategy to evolve over time—a condition that makes the task of crafting strategy a work in progress, not a one-time event.

A firm's strategy is shaped partly by management analysis and choice and partly by the necessity of adapting and of learning by doing.



Evolving Nature of Corporate Strategy

Realized (current) strategy is a blend of:

Proactive (deliberate) strategy elements that include planned initiatives to improve the company's financial performance and secure a competitive edge

Reactive (emergent) strategy elements developed on the fly in response to unanticipated developments and fresh market conditions

Abandoned and superseded strategy elements that no longer fit with the firm's ongoing strategy

A firm’s **deliberate strategy** consists of proactive strategy elements that are both planned and realized as planned.

Its **emergent strategy** consists of reactive strategy elements that emerge as changing conditions warrant

Firms Strategy vs Business Model

How the firm will make money:

- By providing customers with value
  - The firm's **customer value proposition**
- By generating revenues sufficient to cover costs and produce attractive profits
  - The firm's **profit formula**

It takes a proven business model—one that yields appealing profitability—to demonstrate viability of a firm's strategy

THE RELATIONSHIP BETWEEN A FIRM'S STRATEGY AND ITS BUSINESS MODEL

Realized Strategy

- Competitive Initiatives
- Business Approaches

$$$?

Business Model

- Value Proposition
- Profit Formula

© McGraw-Hill Education.

The Core Concept

- The main concept is that a firm's business model sets forth the logic for how its strategy will create value for customers, while at the same time generating revenues sufficient to cover costs and realize a profit.

Elements of Business Model

The profit formula

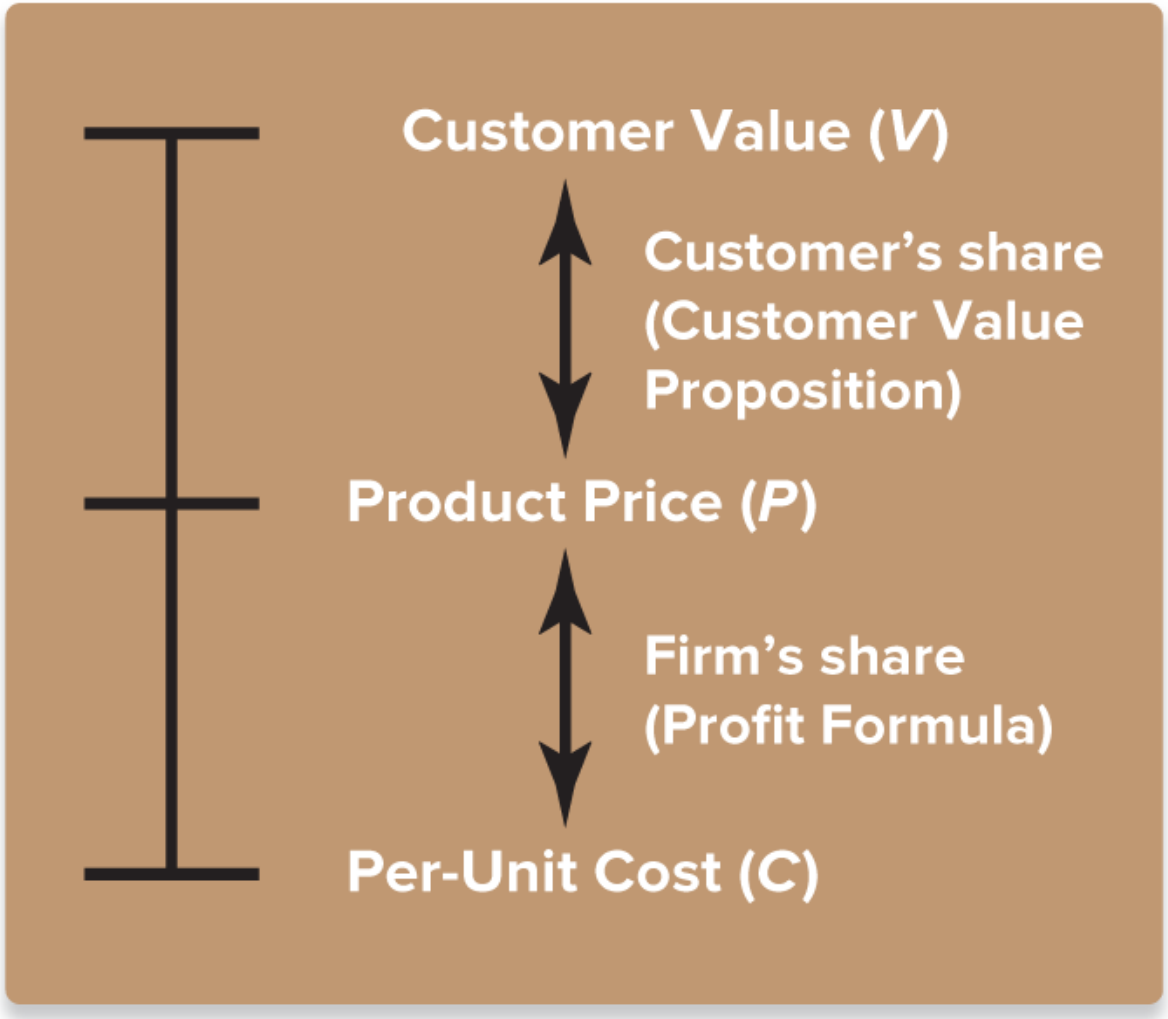
- **Creating a cost structure that allows for acceptable profits, given that pricing is tied to the customer value proposition**
  - ***V* – the value provided to customers**
  - ***P* – the price charged to customers**
  - ***C* – the firm's costs**
- **The lower the costs (*C*) for a given customer value proposition (*V*–*P*), the greater the ability of the business model to be a moneymaker.**

Thinking Strategically

Amazon has begun to acquire its own fleet of cargo planes to deliver packages to customers.

- What internal and external factors are contributing to this change in its strategy?
- How could the move be explained in terms of changes in the value, price, and cost factors associated with Amazon's business model?
- How does the forward integration entry of Amazon into the freight delivery markets in which FedEx and United Parcel Service compete affect the sustainability of their business models over the long term?

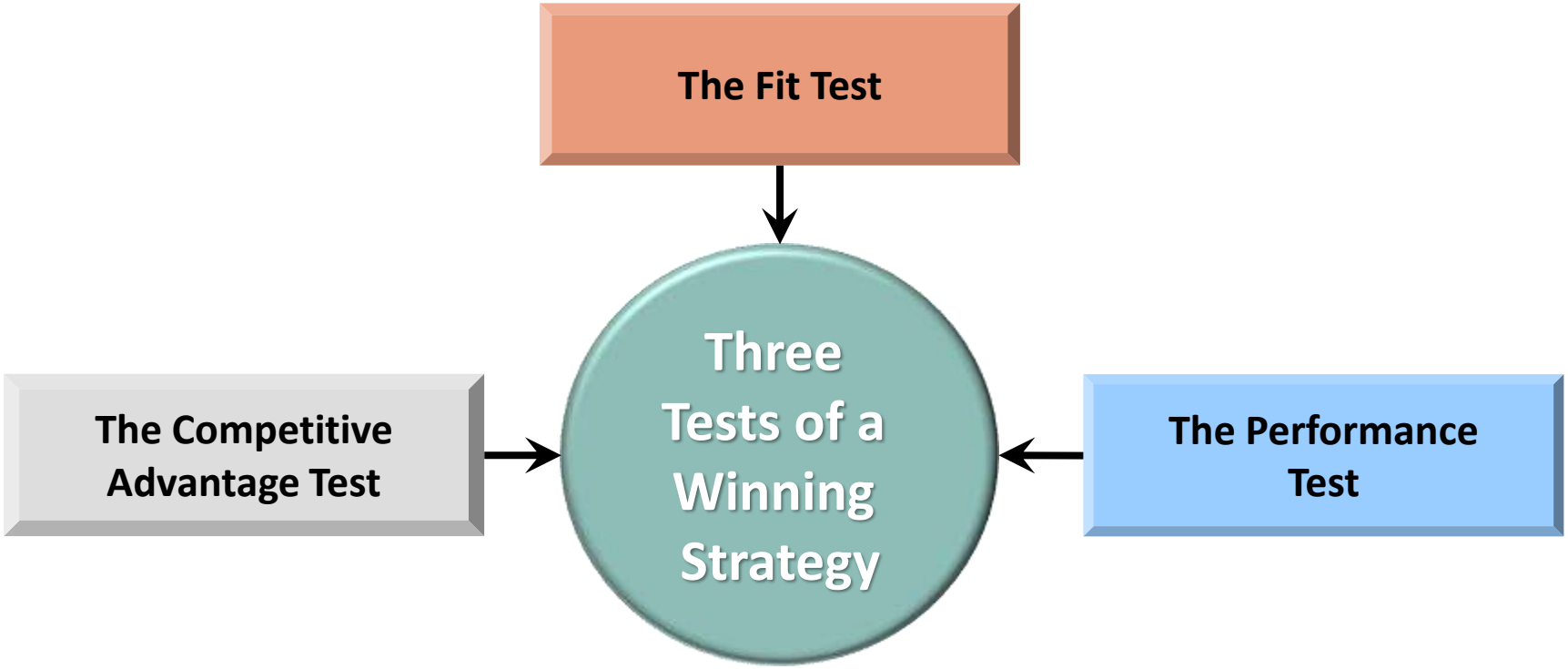
The Business Model and the Value-Price-Cost Framework



Jump to Appendix 4 long image description

© McGraw-Hill Education.

Strategic Test ; Is your strategy a winner?



© McGraw-Hill Education.

If so, what then makes a strategy a winner?

A winning strategy must pass three tests:

- *The fit test*
  - Does it exhibit fit with the external and internal aspects of the firm's dynamic situation?
- *The competitive advantage test*
  - Does it help the firm achieve a sustainable competitive advantage?
- *The performance test*
  - Will it produce superior performance as indicated by the firm's profitability, financial and competitive strengths, and market share?

Example:
Pandora, Sirius XM, and Broadcast Radio: Three Contrasting Business Models

Who listens to the radio anymore?

- How sustainable are the business models of Pandora, Sirius XM and over-the-air broadcasters over the long term?
- Given the changes in user listening habits, which competitor's present strategy best passes the three tests of a winning strategy?
- What internal and external factors will create particular difficulties for each competitor in changing its strategy or business model?

Significance of crafting and executing corporate strategy

Strategy provides:

- A prescription for doing business
- A road map to competitive advantage
- A game plan for pleasing customers
- A formula for attaining long-term standout marketplace performance

Good Strategy + Good Strategy Execution = Good Management

- How well a company performs is directly attributable to the caliber of its strategy and the proficiency with which the strategy is executed

WHAT
LIES
AHEAD?

In conclusion

Strategy is about asking the right questions.

- What must managers do, and do well, to make a firm a winner in the marketplace?

Strategy requires getting the right answers.

- Good strategic thinking and good management of the strategy-making, strategy-executing process
- First-rate capabilities and skills in crafting and executing strategy are essential to managing successfully

Welcome and best wishes for your success!